cent, bringing the growth in the first half to just 4.6 per cent. The growth collapse of gross fixed capital formation (GFCF) in the economy, which represents investments to 0.9 per cent, clearly indicated worse things to follow. Investments drive not only growth but put income in the hands of the factors of production in the years they take place in. Capital formation also enhances the capacity of the economy to produce goods and services in the years to come. This was a tell-tale sign of deepening slowdown.

When the National Statistical Office (NSO) announced the advanced GDP estimates for 2019–20 on 7 January 2020, estimating India to grow only at 7.5 per cent in nominal terms (5 per cent in constant prices), the worst fears of deepening slowdown were confirmed. From the fastest growing economy in the world, India slipped into a mediocre performance bracket. Other foreboding signs also appeared. Capacity Utilization in the manufacturing sector fell to a ten-year low at less than 69 per cent in the second quarter and averaged less than 70 per cent during the year. Electricity demand growth contracted for five months continuously during 2019–20 whereas for the fifteen-year period since 2005, it had contracted only for four months in total. Gross value added (GVA) growth of manufacturing for 2019–20 was only 2 per cent in contrast to 8.3 per cent the previous year.

Though shocking, it came as no surprise that fixed capital formation recorded no growth. In 2019–20, at Rs 45.93 lakh crore in constant prices, it grew by a paltry Rs 0.45 lakh crore over the GFCF of Rs 45.48 lakh crore in 2018–19 at a rate of just 0.01 per cent. This was one of the lowest growth rates of investment in many years. In the previous two years, the growth of fixed capital projection was projected at 16.3 per cent for 2018–19 and 9.8 per cent for 2017–18. Consequently, the rate of fixed capital formation as a proportion of GDP fell from 32.3 per cent to 31.1 per cent, a fall of 1.2 per cent in just a year.